

other chart patterns is based on the daily scale, so any comparison is an apples-and-oranges thing).

How many times have you switched to the monthly scale and searched for chart patterns? You'll see some of your favorite patterns on the longer term scale: double tops and bottoms, a few triangles, and maybe this pattern: a cloudbank. If you like to invest, it might be a pattern worth finding. It's one of my favorites.

Tour

[Figure 18.1](#) shows what a cloudbank looks like, shown on the monthly scale. The base of the cloud forms from 2003 to 2008, although the actual price trend isn't as flat as the horizontal line indicates. Indeed, price wobbles up and down during the period, yet there's a horizontal component to that movement as price slides sideways. That sideways move is what you're looking for when searching for cloudbanks.

After price starts dropping in the bear market, it tunnels through support and down it goes, following the rest of the market lower. This stock held up better than the market indices. The bear market started in October 2007, and this stock held on until September 2008 before the plunge really started. Both the stock and the general market bottomed in March 2009 when the bear market ended.

A recovery began, following the start of a bull market. In this example, the rise was swift, taking the stock back into the clouds just four months after bottoming. The stock bottomed at 40.87 and reached the cloud base of 67.05 for a gain of 64%. That's a nice recovery. If you only captured half that, the gain would still be a nice prize.